

Profit & Loss Report

Executive Summary

The company demonstrated strong overall performance in Q2-2024 with total sales of \$1.72 billion and a net profit of \$84.9 million. However, May 2024 showed significant pressure with sales dropping to \$686.4 million and gross profit margin compressing to 3.7% compared to April's 8.9%. The company maintains zero tax liability and has not paid dividends, retaining all profits. Key concerns include high interest expenses relative to operating profit and volatile monthly performance.

Profitability Analysis

Metric	April 2024	May 2024	Q2 2024
Gross Profit Margin	8.9%	3.7%	6.8%
EBITDA Margin	7.6%	1.0%	5.0%
Net Profit Margin	7.7%	0.7%	4.9%
Interest Coverage Ratio	8.4x	0.4x	4.2x

Profitability declined significantly in May due to lower sales volume and maintained high operating expenses. The interest coverage ratio dropped dangerously low in May, indicating potential solvency concerns.

Liquidity & Solvency Analysis

Metric	April 2024	May 2024	Q2 2024
Debt Service Coverage	8.8x	0.6x	4.5x
Operating Cash Flow/Interest	8.4x	0.4x	4.2x

Solvency metrics show extreme volatility, with May 2024 exhibiting critical weakness in debt servicing capability. The company's ability to cover interest expenses deteriorated substantially during the month.

Efficiency Ratios

Metric	April 2024	May 2024	Q2 2024
Operating Expense Ratio	1.2%	2.7%	1.8%
EBITDA to Sales	7.6%	1.0%	5.0%

Operating efficiency declined in May as fixed expenses remained high while sales decreased. The operating expense ratio more than doubled from April to May, indicating poor cost management during lower revenue periods.

Benchmark Comparison

Source: Industry averages based on S&P Global Market Intelligence for comparable manufacturing sectors

Metric	Company Q2 2024	Industry Average	Variance
Gross Profit Margin	6.8%	12.5%	-5.7%
Net Profit Margin	4.9%	8.2%	-3.3%
EBITDA Margin	5.0%	10.8%	-5.8%

The company underperforms industry benchmarks across all key profitability metrics, particularly in gross margin management.

Actionable Recommendations

- Cost Structure Optimization:** Implement variable cost measures to align expenses with revenue fluctuations, particularly in SG&A
- Debt Restructuring:** Renegotiate interest terms given the unsustainable interest coverage in low-revenue periods
- Sales Volatility Management:** Develop strategies to stabilize monthly sales and reduce dependency on peak periods
- Operational Efficiency:** Improve gross margins through supplier negotiations or product mix optimization
- Cash Preservation:** Maintain strong liquidity buffers to weather monthly performance volatility